

Egyptian International Pharmaceutical Industries Company (EIPICO)

Independent valuation study · The Egyptian Exchange · ticker PHAR · Egyptian pounds
Prepared 9 August 2026 · share price EGP 130.05 at the close of 6 August 2026 · 168.756 million shares in issue

Read first

What this is. An independent, educational valuation of a listed Egyptian pharmaceutical manufacturer, built from the company's own audited financial statements. It contains no rating, no recommendation and no price target. It expresses value as a RANGE and, separately, as a probability distribution.

What it is built on. Four consecutive years of audited consolidated financial statements — FY2022 through FY2025 — with the auditor's report and full notes, together with the board of directors' own operating statistics and the company's investor presentation. Every historical figure in this study traces to one of those documents. No data vendor, broker note or press report is used to build any number about the company itself.

The one number to hold on to. Five independent lenses put fair value between EGP 50 and EGP 79 a share, weighted centre EGP 67. The market price is EGP 130.05. That gap is the study, and section 1.7 states exactly what would have to be true for the market to be right.

What this study deliberately does NOT do. It does not put a revenue line on the company's new biologicals plant, because the company has published no volume, price or utilisation guidance for it. It charges the plant's depreciation and its interest, because both follow mechanically from the licence the company obtained in December 2025. Section 1.7 then solves for how much the plant must sell to justify the market price and states that in observable units.

This is the second edition. It folds in the reviewed first quarter of 2026 and the separately issued audited FY2023 and FY2024 statements, obtained after the first issue. The first quarter CONFIRMED the study's central mechanism — the construction balance is transferring and the depreciation charge has more than doubled — but it also came in softer than the first edition assumed on revenue, associates and capital spending. The weighted central value moves from EGP 79.64 to EGP 67 a share. Section 7 lists what changed and by how much.

The first-quarter review is QUALIFIED. The auditor qualified the conclusion on three matters: the associates' own periodic statements were not received; the active-ingredient company was recognised at cost after loss of control rather than remeasured and equity-accounted; and NO expected-credit-loss charge was recognised in the quarter. The third goes straight to this study's contested judgement and is the reason it is still carried both ways.

The contested judgement is carried both ways. The credit-loss and provision charge is the study's single most consequential contested judgement. It is computed on two frames and both are published side by side, in the summary table, in the body, in the workbook and in an expert's range. They are never averaged into one number.

Headline

EIPICO is Egypt's largest pharmaceutical manufacturer by units and its largest pharmaceutical exporter, and it has just finished building something big. Revenue grew 24.4% in FY2025 to EGP 9,441 million, attributable profit rose 31.6% to EGP 1,442 million, and the shares have

roughly doubled this year. The question this study asks is not whether the business is good. It is whether EGP 130.05 a share already pays for a plant that has not yet sold anything.

The company spent the last three years building EIPICO 3, a biologicals and biosimilars facility it describes as the first in Egypt to manufacture from cell culture through to finished product, at a stated cost of USD 100 million. At 31 December 2025 the construction balance stood at EGP 4,901 million — larger than the entire depreciated property base of EGP 3,070 million. The Egyptian Drug Authority licensed it in December 2025. From FY2026 that balance starts depreciating, and the interest that was being capitalised into it starts hitting the income statement. Those two mechanical changes take roughly EGP 700 million a year out of reported profit before the plant contributes a pound of revenue.

Against that, four lenses that do not depend on the new plant at all — discounted cash flow on two framings of the provision charge, book value against sustainable return, triangulated multiples, and normalised earnings power — cluster between EGP 50 and EGP 79. The market is above all of them.

The first quarter of 2026, reviewed and published in May, settles part of that question and sharpens the rest. Fixed assets rose EGP 1,140 million and the construction balance fell EGP 918 million in three months; depreciation and amortisation went to EGP 56.2 million from EGP 26.6 million a year earlier, more than double. The plant is in service and the charge has arrived, exactly as this study said it would. What has not arrived is the revenue: net sales grew 10.1% and attributable profit FELL 10.9% to EGP 284 million.

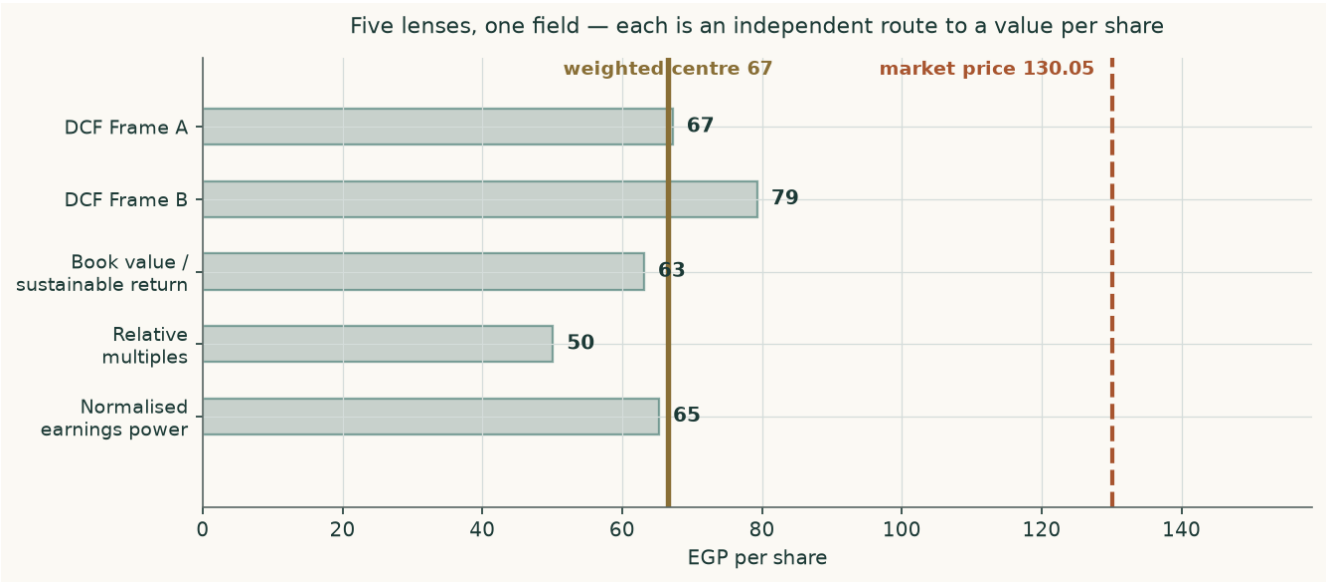


Figure 1 — five independent routes to a value per share, against the market price.

Valuation summary

Lens	EGP / share	vs market	Note
Discounted cash flow — Frame A	67.22	-48%	terminal value 76% of enterprise value
Discounted cash flow — Frame B	79.33	-39%	terminal value 75% of enterprise value
Book value and sustainable return	63.12	-51%	justified 1.71x book of EGP 37.00
Relative multiples	50.09	-61%	three multiples averaged, not asserted
Normalised earnings power	65.27	-50%	three-year average margin 22.9%
Weighted central fair value	66.57	-49%	A range, not a target
Field low to field high	50.09 - 79.33		The spread between the lenses IS the uncertainty

Market price	130.05		Close of 6 August 2026
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Table 1 — the summary valuation table. Terminal value as a percentage of enterprise value is stated beside the cash-flow lens rather than left in the workbook.

Key figures	Value	Key figures	Value
Market capitalisation	EGP 21,947m	Net debt	EGP 7,364m
Enterprise value	EGP 29,600m	FY2025 revenue	EGP 9,441m
FY2025 EBITDA	EGP 2,484m	FY2025 attributable profit	EGP 1,442m
Trailing price / earnings	15.2x	Trailing enterprise value / EBITDA	11.8x
Cost of equity	24.82%	Discount rate, first year	22.19%
Discount rate, terminal	13.83%	Proposed dividend, FY2025	EGP 3.50 (2.7% yield)

Table 2 — the figures a reader needs before anything else.

Company overview

EIPICO was founded in 1980 in Tenth of Ramadan City with capital of EGP 7 million and began producing in 1985. It is today the largest operating subsidiary of the Arab Company for Drug Industries and Medical Appliances, which holds 51.34% of its shares. The rest of the share list is dominated by medical-profession institutions — an investment company, the professions federation and its pension fund together hold a further 12.02% — with 36.64% in other hands.

The business is a vertically integrated generic and branded pharmaceutical manufacturer. It runs 54 production lines across three plants, produced 2,208 million units in FY2025 against 3,383 million of its own disclosed capacity, and sold 357.3 million packs of 414 registered preparations across 27 therapeutic groups. It employs about 4,981 people. It makes its own primary packaging through a wholly-owned ampoule and vial subsidiary and a plastics factory, which is why the packaging cost line is only partly exposed to imports.

Revenue channel	FY2024 (EGP m)	FY2025 (EGP m)	Growth	Share of FY2025
Direct domestic sales	1,530	1,943	27%	21%
Domestic distributors	2,664	3,591	35%	39%
Government tenders and supply	634	751	18%	8%
Export	2,500	2,967	19%	32%
Contract manufacturing	36	49	38%	1%
Total (company only)	7,479	9,302		100%

Table 3 — the disclosed revenue split. Exports are 32% of the book and are earned in hard currency; the domestic price is set administratively by the Egyptian Drug Authority.

Two things about this company are unusual enough to change how it must be valued. First, it is nearly currency-neutral on its balance sheet: the audited note shows a net monetary position of minus USD 0.5 million at the year end, against a company that earns USD 60 million of export revenue. It hedges by matching, not by contract. Second, its two equity-accounted associates contributed EGP 512 million in FY2025 — 36% of attributable profit — against a carrying value of only EGP 676 million. Carrying value is not a usable proxy for what that stake is worth, so this study values it on its earnings instead.

1. Fundamental valuation

1.1 The cash-flow model

The company is valued as an operating business: free cash flow to the firm over five explicit years, discounted on a rate that glides from today's cost of capital to a normalised one, plus a terminal value. Frame A of the contested provision judgement is shown here in full; Frame B differs only in that one line and is carried through to its own value per share.

EGP million	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	10,384	12,038	13,825	15,638	17,404
EBITDA	2,576	2,978	3,447	3,905	4,335
EBITDA margin	24.8%	24.7%	24.9%	25.0%	24.9%
Less depreciation and amortisation	(304)	(425)	(446)	(437)	(423)
EBIT	2,272	2,553	3,001	3,468	3,912
Tax rate	22.5%	22.5%	22.5%	22.5%	22.5%
NOPAT = EBIT x (1 – tax rate)	1,761	1,979	2,326	2,688	3,032
Add back depreciation and amortisation	304	425	446	437	423
Less capital expenditure	(1,298)	(542)	(484)	(500)	(522)
Less increase in working capital	(588)	(768)	(683)	(715)	(669)
Free cash flow to the firm	178	1,094	1,605	1,909	2,264
Discount rate	22.19%	19.95%	17.50%	15.47%	13.83%
Discount factor	0.8184	0.6822	0.5806	0.5028	0.4417
Present value of free cash flow	146	746	932	960	1,000

Table 4 — the full free-cash-flow waterfall through to present value, Frame A.

Enterprise value to equity value	EGP million	EGP / share
Present value of five years of free cash flow	3,784	22.42
Present value of the terminal value	11,938	70.74
Core enterprise value	15,722	93.16
Terminal value as a percentage of enterprise value	76%	
Add: equity-accounted associates on normalised earnings	2,978	17.65
Add: assets held for sale	12	0.07
Total enterprise value	18,713	110.89
Less: net debt	(7,364)	(43.64)
Less: non-controlling interests	(4)	(0.02)
Equity value — Frame A	11,344	67.22
Equity value — Frame B	13,387	79.33

Table 5 — the enterprise-to-equity bridge. Terminal value as a percentage of enterprise value is shown as a line of the bridge, not buried in a footnote.

1.2 Book value and sustainable return

Book value attributable to shareholders was EGP 6,243 million at the year end, EGP 37.00 a share. Return on average equity was 24.6% in FY2024 and 26.5% in FY2025; the forecast settles at 21.9%. A business earning 21.9% on equity while its perpetual cost of equity is 14.90% is worth more than its book: the multiple that relationship justifies is (return less growth) over (cost of equity less growth), or 1.71 times book — EGP 63.12 a share.

1.3 Relative multiples

The company's own traded history is the primary anchor here, because it is computable entirely from primary material: audited attributable profit against the year-end close. It traded on 4.7 times in 2022, 6.6 times in 2023, 6.2 times in 2024, 9.1 times in 2025 — a four-year mean of 6.7. At EGP 130.05 it trades on 15.2 times trailing attributable earnings and 11.8 times trailing EBITDA. The earnings multiple has more than doubled against its own four-year history. That is the single most important fact about this share price.

Multiple	Times	EGP / share	Where it comes from
Justified forward multiple from this model	7.8x	48.19	retention must equal growth 5% over sustainable return 21.9%, so payout is 77%
The company's own four-year mean multiple	6.7x	41.21	year-end closes against audited attributable profit
Regional peer median, cost-of-equity adjusted	9.8x	60.89	peers face a cost of equity near 10%, not 14.9%
Average of the three — the relative lens	8.1x	50.09	Averaged on the sheet, not asserted

Table 6 — three multiples triangulated. Left unadjusted for the cost-of-equity gap, the regional peer median alone would give EGP 120.60 a share; the size of that gap IS the country-risk discount, shown rather than hidden.

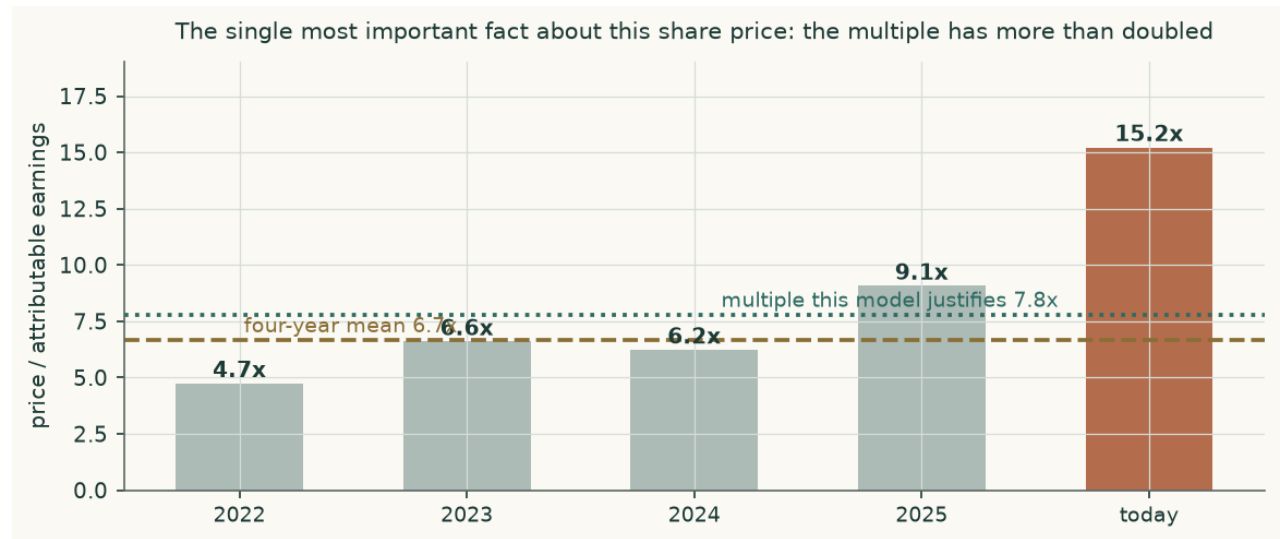


Figure 2 — the traded multiple against its own history and against what the model justifies.

1.4 Normalised earnings power

FY2025 was the best operating year in the company's history: a 25.1% operating margin against 23.5% in FY2023 and 20.1% in FY2024. This lens deliberately gives part of that back. Applying the three-year average margin of 22.9% to FY2027 revenue, financing it at that year's cost of debt, taxing it at 23.5% and adding the normalised associate contribution gives EGP 8.38 a share of sustainable earnings. Capitalised at the PERPETUAL cost of equity of 14.90% less 5% growth, on the 77% payout that growth rate permits, that is EGP 65.27 a share. Using today's crisis-level cost of equity of 24.82% in a perpetuity would be a category error: a steady-state multiple takes a steady-state rate.

1.5 Synthesis — four methods, one field

The five values run from EGP 50 to EGP 79. That spread is not a failure of the methods; it is the honest measure of how much the answer depends on which question you ask. The cash-flow lenses, which see the new plant's costs but not its revenue, sit at the top of the field. The relative lens, which prices the company on what its own economics justify, sits at the bottom. The weighted centre is EGP 67, against a market price of EGP 130.05.

1.6 Drivers — every segment grown on its own driver

Revenue is not grown as a percentage. Each book is built from a volume and a price, both taken from disclosure. The company sold 351.8 million packs of its own preparations in FY2025; the investor presentation puts export volume at 60 million packs. The difference — 291.8 million packs — is the domestic book, carrying EGP 6,286 million of revenue, or EGP 21.54 a pack, against EGP 19.77 in FY2024. Exports realise USD 1.00 a pack. Margins are an OUTPUT of this build, never an input.

Driver	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Domestic packs (million)	307.9	332.5	357.4	380.7	401.6
Domestic price per pack (EGP)	22.62	24.43	26.26	27.97	29.50
Export packs (million)	63.0	68.7	74.5	80.5	86.1
Export price per pack (USD)	1.01	1.02	1.03	1.04	1.05
Exchange rate (EGP per USD)	50.5	52.5	54.3	56.0	57.7
Revenue (EGP million)	10,384	12,038	13,825	15,638	17,404
Gross margin (an output)	41.4%	40.7%	40.9%	41.2%	41.3%

Table 7 — the forecast driver table. Volume and price move separately, in the currency each is actually earned in.

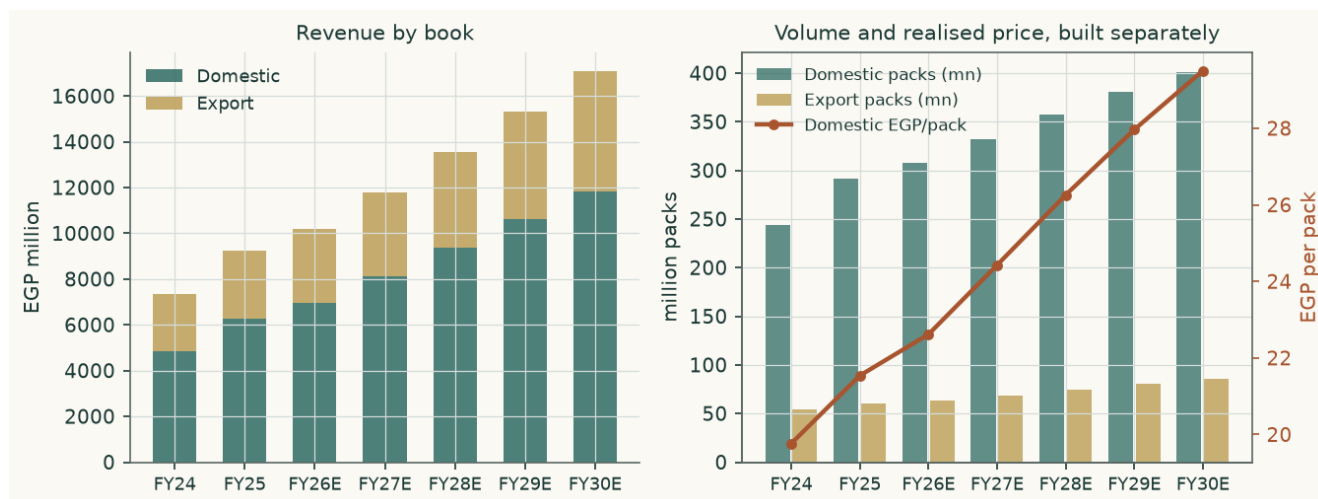


Figure 3 — revenue by book, and the volumes and prices underneath it.

The cost side gets the same discipline, and this matters more than it sounds. The audited cost-of-sales note splits production cost into physically distinct lines, and each one is escalated on its OWN driver rather than on a single blended inflation index:

Cost line	Share of production cost	Escalated on
Imported active ingredients	54.9%	a hard-currency price path passed through the exchange-rate path
Packaging materials	24.6%	55% on the hard-currency path, the balance domestic —

		the group makes its own primary packaging
Labour	9.8%	Egyptian wage growth, which is running above consumer prices
Energy and utilities	3.4%	the regulated tariff schedule, ABOVE consumer prices while subsidy reform runs
Other consumables and services	5.7%	domestic consumer prices
Depreciation	1.7%	nothing — it is excluded here and comes from the property roll-forward instead

Table 8 — one escalator per driver class. A single blended index across these lines would make the forecast margin an artefact of the index rather than of the business.

1.7 The crux

The crux is the new plant, and it is worth being precise about what this study does and does not assume. It CHARGES the plant: EGP 4,901 million of construction balance transfers into depreciable assets on the company's own disclosed licensing timetable, taking the depreciation charge from EGP 118 million in FY2025 to EGP 304 million in FY2026 and EGP 446 million by FY2028. The interest that had been capitalised into the construction balance — EGP 551 million in FY2025 alone — stops being capitalised and starts being expensed. It does NOT credit the plant with any revenue, because the company has published none.

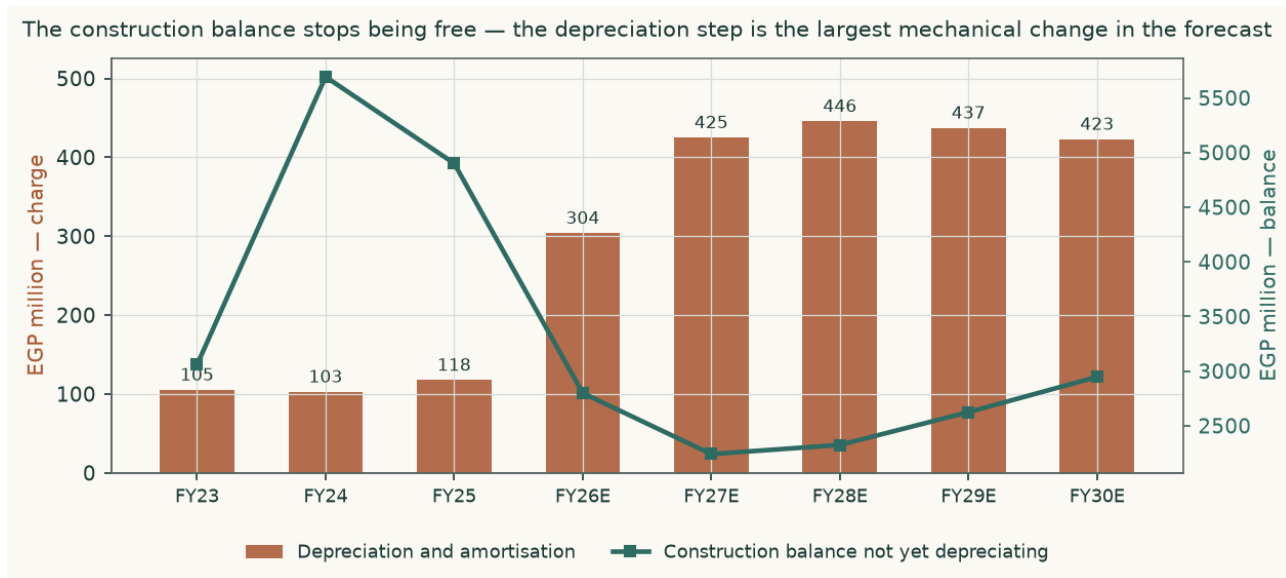


Figure 4 — the depreciation step, and the construction balance that causes it.

So the honest question is not what the plant is worth. It is how much it must sell. Solving the same model for the market price: an additional EGP 6,642 million of revenue by FY2030 at a 45% contribution margin closes the gap from EGP 67.22 to EGP 130.05. That is 28% of FY2030 revenue, or about USD 115 million a year — 1.15 times the USD 100 million the company says it invested in the plant.

Why this number is useful. It is observable. Roughly USD 115 million a year of biosimilar revenue by 2030 is a figure the company will eventually disclose, and a reader can check this study against it. An asset turn of 1.15 times on a specialist biologics facility is demanding but not absurd; whether it is achievable in Egypt, at Egyptian reimbursement prices, on a product set still moving through registration, is the question the market is answering yes to and this study is declining to answer either way.

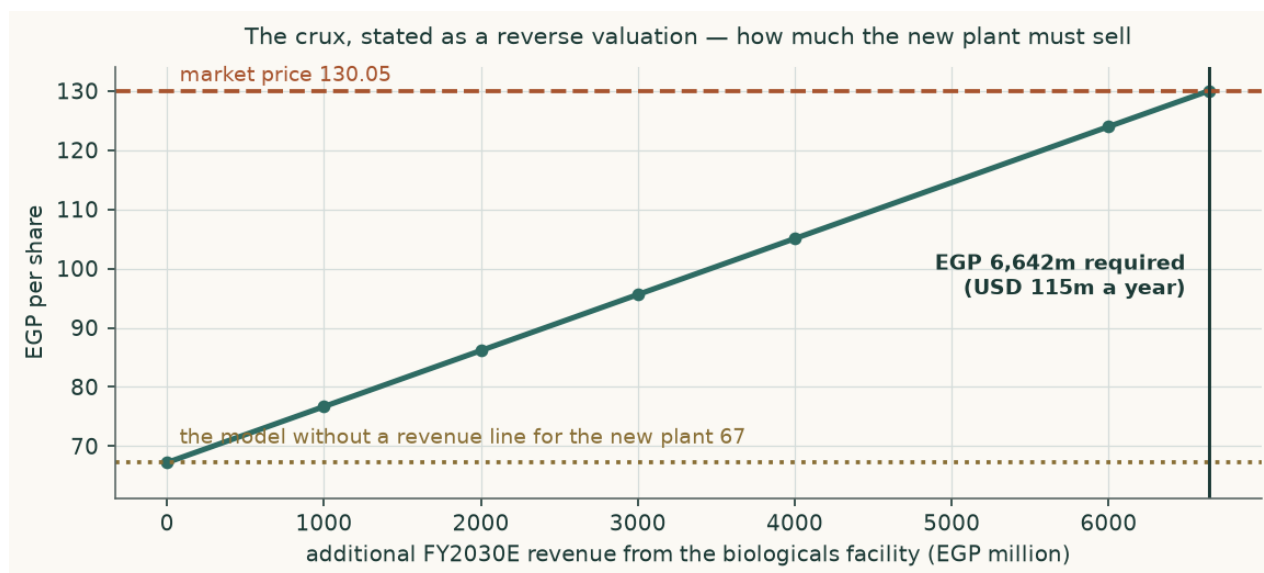


Figure 5 — the crux stated as a reverse valuation.

The first quarter of 2026 is the first real test of all this, and it is worth setting the forecast against it line by line rather than claiming a hit.

Line	Q1-2026 actual	Read into a full year	This study's FY2026	How the forecast stands against it
Net sales (EGP m)	2,533	10,398	10,384	-0.1% against the quarter's run-rate
Gross margin	42.4%	—	41.4%	within 104 basis points
Depreciation and amortisation (EGP m)	56.2	225	304	the step is real; the study is ahead on timing only
Transfers out of construction (EGP m)	918	3,670	3,400	confirmed, and the study is if anything conservative
Finance cost (EGP m)	313	1,251	1,250	reset to the quarter
Provision charge as a share of sales	2.57%	—	5.25% / 4.50%	no credit-loss charge was taken at all — see below
Associates (EGP m)	13.1	52	250	the quarter is incomplete by the auditor's own statement
Capital expenditure (EGP m)	325	1,299	1,298	reset upward to the quarter

Table 11 — the forecast against the first quarter it can be checked on. The middle column reads the quarter into a year on the FY2025 seasonal shape, in which the first quarter carried 24.4% of sales and 22.1% of attributable profit.

Two of those rows carry more weight than the rest. The depreciation line is the study's central claim and it is confirmed: the charge is running at roughly double last year on a plant that has only just entered service, and the model's own depreciation rate reproduces the quarter to within 3%. The provision line is the study's contested judgement, and here the quarter does NOT settle it: the company took EGP 65 million of provisions and inventory write-downs but no credit-loss charge whatsoever, against receivables that grew EGP 798 million in the same three months. The auditor qualified the review on precisely that point. A charge that is omitted in the first quarter is deferred, not avoided, which is why both frames still run.

1.8 Macro and country — the cost of capital

The quoted ten-year Egyptian local-currency government yield is 22.31%. That yield is not riskless: it contains the sovereign's own default risk. Subtracting Egypt's sovereign credit-default-swap spread of 3.41% leaves a normalised risk-free rate of 18.90%. Adding beta times the country equity risk premium gives the cost of equity. Charging the raw 22.31% yield AND a

country-loaded premium would give 28.23% and would count sovereign risk twice; that construction is not used here.

Cost of capital	Swap basis	Rating basis	Source and construction
Ten-year local-currency yield	22.31%	22.31%	House reference print of 21 July 2026
Less sovereign default spread	3.41%	6.37%	Country risk-premium file, Egypt row, read 9 August 2026
Normalised risk-free rate	18.90%	15.94%	The subtraction above
Country equity risk premium	9.41%	13.94%	Same file, same row, the two published columns
Beta	0.629	0.629	Own-stock weekly regression against a 36-name local composite, five years; R-squared 0.235, n = 257, standard error 0.071
COST OF EQUITY	24.82%	24.71%	The two bases agree to 11 basis points
Cost of debt, local currency	24.81%	24.81%	Sovereign yield plus 250 basis points — above the sovereign by construction
Cost of debt, hard currency	7.50%	7.50%	Dollar and euro term loans from two Gulf banks
carried at local-equivalent cost	12.34%	12.34%	coupon compounded with 4.5% expected currency depreciation
Blended cost of debt, after tax	14.38%	14.38%	book split 50% local / 50% hard currency, borrowings note (17)
Weights (net debt basis)	75% / 25%	75% / 25%	Market-value equity, never book equity
DISCOUNT RATE, FIRST YEAR	22.19%		On gross debt: 21.83% — both published
DISCOUNT RATE, TERMINAL	13.83%		cost of equity 14.90%, cost of debt after tax 9.56%, debt weight 20%

Table 9 — the cost of capital, built rather than asserted, and published on both bases the source provides.

A cost-of-debt cross-check that a reader can run: the company expensed EGP 1,275 million of interest in FY2025 and capitalised a further EGP 551 million into the construction balance. On average gross debt of EGP 8,999 million that is 14.2% expensed and 20.3% all-in. The 18.5% marginal rate used here sits inside that pair, which is the test that matters: a marginal rate below what the company actually pays, or above what it actually incurs, would not be credible.

One arithmetic point that looks wrong and is not. The first-year discount rate of 22.19% sits close to the 22.31% quoted government yield. That is a consequence of the normalisation, not an error: the quoted yield contains default risk that this build strips out and re-charges inside the equity premium, where it belongs. Comparing a cost of capital built on a normalised risk-free rate to a raw quoted yield is comparing two different things.

1.9 Sensitivity

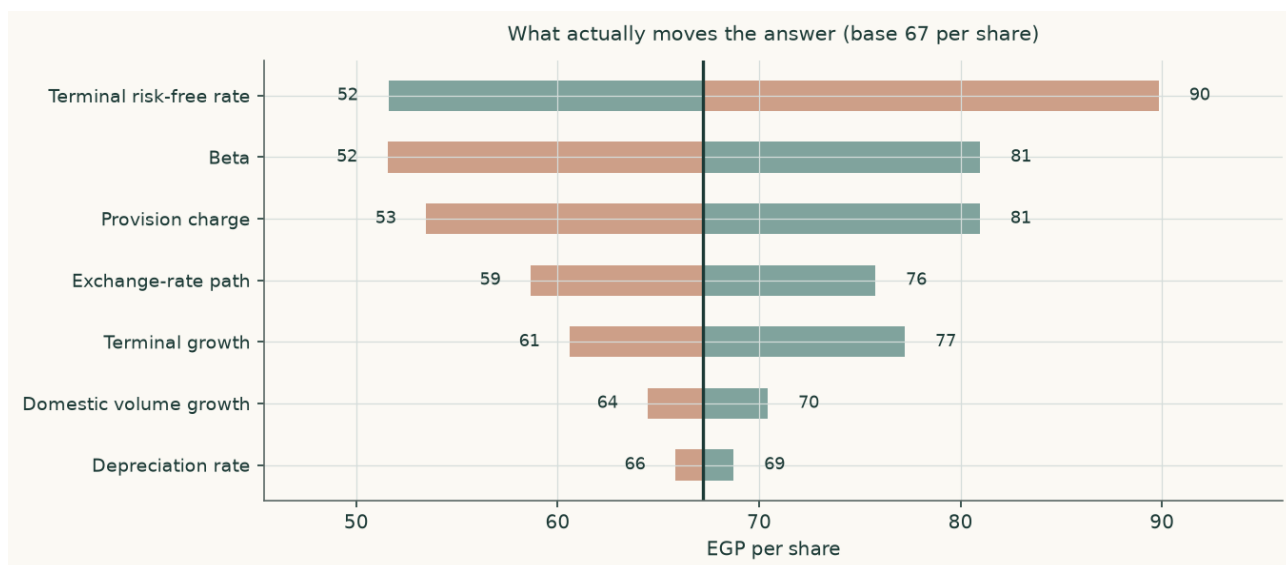


Figure 6 — what actually moves the answer. Each bar is the full range of the value per share across a plausible range of that one input.

Terminal growth →	3%	4%	5%	6%	7%
Cost of equity -200 basis points	78	83	90	98	110
Cost of equity -100 basis points	69	73	77	84	92
Cost of equity +0 basis points	61	64	67	72	77
Cost of equity +100 basis points	54	56	59	62	66
Cost of equity +200 basis points	48	50	52	54	57

Table 10 — the value per share across the cost of equity and terminal growth together. Every cell is a complete revaluation.

The crux is sensitised in real observable units rather than in percentage points: an extra EGP 1,660 million of FY2030 revenue from the new plant is worth roughly EGP 16 a share, so each USD 20 million a year of biosimilar sales is worth about EGP 11 a share.

2. Technical and price structure

The price closed 130.05 above a rising 20-day (101.58), a rising 50-day (92.49) and a rising 200-day (82.58). Momentum is stretched: RSI(14) is ~71 and the daily ATR near 7.84 (~6.0%) points to a volatile tape. MACD (12·26·9) is positive and rising (+11.68 / +7.24 / +4.44). Over the last year it has ranged 43.60–156.00; the last close sits 17% below that high and 198% above that low.

Level	EGP	Distance from the close
Third resistance	156.00	20.0%
Second resistance	150.00	15.3%
Nearest resistance	140.00	7.7%
Last close	130.05	—
Nearest support	92.40	-29.0%
Second support	88.49	-32.0%
Third support	85.40	-34.3%

Table 11 — support and resistance, computed from recency-weighted pivot clusters on the same cleaned price history the probability map uses.

The structural point matters more than the levels. The nearest support sits -29% below the last close. The move that took this share from about EGP 90 in late July to EGP 150 on 3 August happened in four sessions, two of them at the exchange's daily limit, and it left no traded structure behind it. A price that gaps up through empty space has nothing under it if sentiment turns — which is why the three-month probability band below is as wide as it is.

A daily close back above 140.00 would clear the nearest resistance and open the 156.00 zone. A close below 92.40 would break the nearest support and open the 85.40 zone.

3. Probabilistic price map

The valuation above says where the shares should be. This section says something different and narrower: given how this share has actually behaved, where might the price be in one and three months? It is a statement about the distribution of outcomes, not a forecast of one.

Percentile of the simulated distribution	One month	Three months
5th percentile	103.80	94.40
25th percentile	120.56	118.42
50th percentile	131.69	135.30
75th percentile	143.94	154.39
95th percentile	167.17	193.82
Check date	2026-09-06	2026-11-08

Table 12 — the percentile map. The anchor is the EGP 130.05 close of 2026-08-06.

Probability	One month	Three months
Finishes above the anchor	54%	58%
Finishes 10% or more above	26%	39%
Finishes 10% or more below	19%	23%
TOUCHES 10% above at any point	43%	64%
TOUCHES 10% below at any point	33%	48%

Table 13 — the level-touch ladder. Touching a level at any point during the window is far more likely than finishing beyond it.

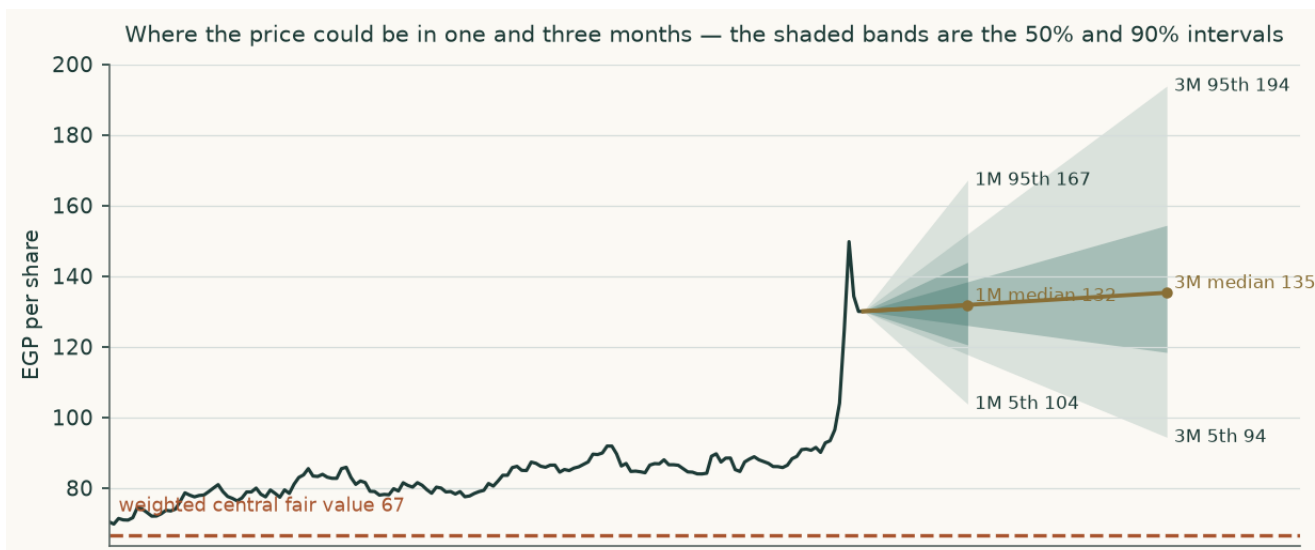


Figure 7 — the price history and the one- and three-month bands.

How much should a reader trust this? The method was tested by re-running it every quarter across the whole cleaned price history, without ever letting it see the future, and scoring each forecast against what actually happened. Over the last five years of those tests — 19 non-overlapping three-month windows — it scored marginally better than a random walk anchored on the same carry, by +0.0021 on a scale where zero means no better and one means perfect. Over the full 13.8-year history and 56 windows it scored -0.0177. In plain terms: on this single share the method is indistinguishable from a random walk, and this study says so rather than claiming an edge it cannot demonstrate.

What the tests DO show is that the bands are honestly sized, which is the property that matters for reading them. Across the five-year window set the outcome fell inside the 90% band 100% of the time and inside the 50% band 47% of the time, and the distribution of where outcomes landed within the bands was statistically indistinguishable from uniform (chi-square $p = 0.447$, Kolmogorov-Smirnov $p = 0.676$). The bands are also about 1.47 times as wide as the benchmark's, which means they are conservative rather than flattering. Read them as an honest width, not as a claim to foresight.

4. Comparison of the lenses

Lens	EGP / share	What it is most sensitive to	When it misleads
Discounted cash flow, Frame A	67.22	the terminal discount rate and the terminal growth rate — 76% of the value is in the terminal block	when five explicit years are not long enough to reach a steady state, which for a plant entering service is exactly the risk
Discounted cash flow, Frame B	79.33	the same, plus the speed at which the provision charge normalises	if the credit losses are structural rather than cyclical
Book value and sustainable return	63.12	the sustainable return on equity and the perpetual cost of equity	when a large part of the asset base is not yet earning — which is true here, with EGP 4,901 million still in construction at the year end
Relative multiples	50.09	the cost of equity, through all three of its inputs	when the peer set faces a different country risk, which is why the peer median is adjusted rather than applied raw
Normalised earnings power	65.27	the choice of normal margin	when the business has genuinely re-based upward, in which case a three-year average understates it

Table 14 — the four methods against each other, including where each one fails.

The lenses disagree in an informative direction. The two cash-flow lenses are the HIGHEST in the field even though they charge the new plant's full cost, because they capture five years of the volume and price growth the existing business is already delivering. The relative lens is the LOWEST because it prices the company on what a 21.9% return and a 14.9% perpetual cost of equity can justify, and that arithmetic supports about 7.8 times earnings, not 15.2. Neither is wrong. The gap between them is the value of growth, and the market is paying for more of it than either lens contains.

5. Catalysts

What to watch	Why it matters	When
First disclosed revenue from the biologicals plant	the whole crux. Section 1.7 says roughly USD 115 million a year by 2030 is required to justify the market price; the first disclosure calibrates how plausible that is	FY2026 results, and every quarter after
The FY2026 depreciation charge	this study assumes it steps from EGP 118 million to about EGP 304 million as the construction balance transfers. A materially smaller step means the plant is being commissioned more slowly than assumed	FY2026 results
Whether capitalised interest stops	EGP 551 million of interest was capitalised in FY2025. Once the plant is in service that becomes an expense, and reported profit falls without anything changing in the business	FY2026 interim and full year
The credit-loss charge	the study's contested judgement. Two years near 5% of revenue with a 9% year between them; which frame the next two years resemble is worth more than a point of margin	each set of results
The Saudi associate	contributed EGP 428 million in FY2025 against EGP 190 million in FY2024. This study normalises it to EGP 250 million; if the step-up holds, that is conservative	each set of results
The active-ingredient project	a separate USD 165 million company that this study does NOT consolidate and does NOT value. It reaches the accounts only through the associate line	trial batches indicated for 2027
The exchange rate	exports are 32% of revenue but imported inputs are 79% of the cash cost stack, so a weaker pound is a NET NEGATIVE for this company — the opposite of the usual exporter reflex	continuous

Table 15 — the events that would move this valuation, and the direction each cuts.

6. Reading the probability zones

The bands in section 3 are frequently misread, so here is how to use them.

- **The percentile map** is the probability that the price ENDS the window beyond a level. It is what a position held to the check date experiences.
- **The touch ladder** is the probability that the price TOUCHES a level at any point inside the window, even if it comes back. It is always the larger of the two, and it is what a stop-loss experiences. On the three-month window the difference is substantial: 23% of paths finish 10% or more below the anchor, but 48% touch that level at some point.
- **A band is not a limit:** the 90% band is not a maximum. One outcome in ten is designed to fall outside it, and over a long enough run one will.
- **Width is information:** the bands here are wide — the three-month 90% band runs from EGP 94.40 to EGP 193.82 — because this share has been genuinely volatile: the annualised volatility implied by its recent trading is about 54%. A narrow band on a share that moved 44% in two sessions would be a lie.
- **These are not a valuation:** the bands describe where the PRICE may go. The valuation describes what the BUSINESS appears to be worth. They are different questions and this

study keeps them apart on purpose. The weighted central fair value sits below the entire three-month band, and that is worth noticing rather than reconciling away.

7. Caveats, and what would change our mind

7.1 What changed in this edition, and by how much

Change	Effect
FY2026 revenue growth reset from 17.5% to the quarter's 10.1%	the largest single change; it lowers the base every later year compounds from
FY2026 capital expenditure raised to the quarter's run-rate	more cash out of free cash flow in the first forecast year
Finance cost charged to profit reset to the quarter, and separated from the marginal cost of debt used in the discount rate	raises forecast earnings; the two were being conflated and are now distinct rows
Normalised associate contribution cut from EGP 320m to EGP 250m, the like-for-like three-year average	lowers the bridge; the quarter reported only EGP 13.1m, but the auditor states the associates' statements were not received, so it is not decisive
The active-ingredient company added to the bridge at carrying cost, and the non-controlling interest deducted there replaced with the post-deconsolidation figure	both POSITIVE, and they are two halves of one event: that company left the consolidation in the quarter, taking EGP 284.7m of minorities out and adding EGP 228.5m of associate carrying value
Dividend-distribution tax given its own line in all three history years, following the separately issued statements	lifts FY2023 operating profit by EGP 4.1m (0.34%); worth about EGP 0.12 a share
NET EFFECT ON THE WEIGHTED CENTRAL VALUE	EGP 79.64 to EGP 66.57 a share, -16%

Table 17 — every change from the first edition, and its direction.

Caveat	What it costs the study	What would settle it
The first-quarter review conclusion is QUALIFIED on three matters	no expected-credit-loss charge was recognised in the quarter; the associates' own statements were not received; and the active-ingredient company was recognised at cost after loss of control rather than remeasured and equity-accounted. The first flatters the quarter's profit, the second makes the associate line incomplete, the third is a measurement question this study side-steps by carrying that company at cost	an unqualified half-year review
No revenue is modelled for the biologicals plant	the cash-flow lenses are understated by whatever the plant earns. This is the largest single limitation and it is deliberate	the company disclosing biosimilar revenue, volumes or utilisation
The valuation bridge is anchored on the audited 31 December 2025 balance sheet, not on the March one	net debt was EGP 9,065m at 31 March against EGP 7,364m at 31 December, but the quarter also paid the FY2025 dividend and built working capital, and the forecast still carries a full FY2026 of cash flow. Using the March balance sheet AND a full forecast year would charge the same quarter twice. On the March net debt alone the value would be about EGP 10 a share lower	a half-year balance sheet, at which point the anchor can move forward cleanly
The ten-year government yield is a cached print, not a live read	the discount rate carries the 21 July 2026 figure. The central bank's auction page refused the request. The rate is sensitised over a wide range in section 1.9	a live read; a 200 basis-point error is worth about EGP 7 a share
The associate contribution is normalised, not built up	the associates published no accounts through this company's filings, so a EGP 250 million normalisation stands in for a real forecast. It is worth EGP 16.30 a share	the Saudi associate publishing separate accounts
Peer multiples are market data, not primary company data	the relative lens's third leg rests on observed peer trading rather than on peer filings. It is one of three legs and is labelled as a cross-check throughout	building each peer from its own audited statements
One disclosed operating figure	the FY2024 tablet production line reads 1,513 million	a company explanation of

was restated between annual reports	units in the FY2024 report and 1,352 million in the FY2025 report. The later filing is used. It affects a utilisation statistic, not a valuation input	the restatement
The pre-2020 portion of the price history is thin	the price export carries 162-195 sessions a year before 2020 against roughly 245 real exchange sessions. It affects only the longest calibration window, not the live bands, which are built on the post-2022 period	a complete exchange-sourced price history

Table 16 — every limitation this study knows about, and what would resolve it.

One caveat from the first edition is now closed: the FY2026 first-quarter interim, which could not be reached at any official source online, was supplied directly and is in this edition. The secondary reporting recorded then as an unverified cross-check turned out to be accurate to the pound on both sales and attributable profit.

What would change the conclusion, stated in advance so it can be checked: if the company disclosed biosimilar revenue on a path toward USD 115 million a year, the cash-flow lenses would move to the market price and this study would be wrong to have flagged the gap. If the FY2026 depreciation charge came in near EGP 118 million rather than EGP 304 million, the plant is not in service and the whole timetable in this study shifts out a year.

Appendix A — the financial statements

A.1 Income statement: three audited years and five forecast years

EGP million	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Revenue	5,232	7,591	9,441	10,384	12,038	13,825	15,638	17,404
Cost of sales	2,896	4,184	5,287	6,090	7,144	8,173	9,196	10,218
Gross profit	2,335	3,406	4,154	4,294	4,894	5,653	6,442	7,186
Gross margin	44.6%	44.9%	44.0%	41.4%	40.7%	40.9%	41.2%	41.3%
Selling and marketing	648	915	1,000	1,080	1,228	1,383	1,548	1,706
Research and development	43.2	70.5	70.9	88.3	108.3	131.3	156.4	174.0
General and administrative	147.5	188.5	221.1	244.0	282.9	318.0	356.5	391.6
Credit losses and provisions	265	702	494	545	632	726	821	914
Operating profit	1,229	1,529	2,366	2,272	2,553	3,001	3,468	3,912
EBITDA	1,335	1,631	2,484	2,576	2,978	3,447	3,905	4,335
Depreciation and amortisation	105.2	102.8	117.7	304.0	425.2	445.8	437.3	423.1
Finance costs	408	960	1,333	1,548	1,451	1,346	1,258	1,187
Share of associates	75	152	512	250	250	250	250	250
Profit attributable to shareholders	822	1,096	1,442	608	756	989	1,231	1,462

Table 17 — three audited years and five forecast years. The attributable-profit line in the forecast columns is the retained portion grossed back up at the payout ratio.

A.2 Balance sheet

EGP million	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Property, plant and equipment	964	1,045	3,070	6,174	6,857	6,820	6,591	6,376
Projects under construction	3,058	5,694	4,901	2,799	2,241	2,325	2,625	2,947
Inventories	2,242	3,585	3,887	4,422	5,050	5,598	6,173	6,719
Trade receivables	2,358	3,049	3,325	3,585	4,024	4,470	4,927	5,341
Cash and bank balances	676	1,295	1,433	1,433	1,433	1,433	1,433	1,433

Trade payables	176	410	780	918	1,096	1,276	1,461	1,624
Gross borrowings	4,880	9,200	8,798	8,798	8,798	8,798	8,798	8,798
Equity attributable to shareholders	4,257	4,654	6,243	6,851	7,607	8,596	9,827	11,289
Book value per share (EGP)	28.62	31.28	37.00	40.60	45.08	50.94	58.23	66.89

Table 18 — the balance sheet. The property and construction lines roll forward on the transfer schedule; working capital is projected from the disclosed day ratios.

A.3 Cash flow and the working-capital markers

Marker	FY2025 audited	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Inventory days	268	265	258	250	245	240
Receivable days	129	126	122	118	115	112
Payable days	54	55	56	57	58	58
Cash conversion cycle	343	336	324	311	302	294
Capital expenditure (EGP m)	1,355	1,298	542	484	500	522
Free cash flow to the firm (EGP m)	—	178	1,094	1,605	1,909	2,264

Table 19 — the asset-conversion cycle, projected rather than plugged. The 268-day inventory position is a stated policy: the company holds a strategic raw-material stockpile it says covers at least eight months.

Appendix B — peers, risks and the research record

B.1 Peers

Company or reference	Multiple	Basis	Status in this study
Listed Saudi Arabian generics manufacturer	26.7x	trailing price / earnings	market data, cross-check only
Regional and international mid-cap generic manufacturers	~16x	trailing price / earnings	market data, cross-check only
Peer median used	19.5x	trailing price / earnings	the third leg of the relative lens, adjusted for the cost-of-equity gap
EIPICO today	15.2x	trailing price / earnings	computed from audited attributable profit and the market price
EIPICO, own four-year mean	6.7x	trailing price / earnings	computed entirely from primary material — the first leg of the relative lens

Table 20 — the peer set. No peer figure is used to build any historical number for EIPICO; peers appear only as a cross-check.

B.2 Risks

Risk	How it would show up	Severity
The new plant under-delivers	depreciation and interest charged with no revenue against them; reported profit falls for two to three years	High
Administered price freeze	the domestic price-per-pack driver stops tracking inflation while imported input costs keep rising	High
Currency depreciation	imported ingredients and packaging are 79% of the cash cost stack against a 32% export share — a weaker pound is net negative here	High
Credit losses prove structural	the provision charge stays near 5% of revenue permanently; this is Frame A, and it is already the more conservative	Medium

	published case	
Concentration in the domestic distributor channel	39% of revenue passes through distributors, and the company itself says it deals with a small number of them	Medium
Refinancing	EGP 8,798 million of gross borrowings against EGP 1,433 million of cash, half of it hard-currency	Medium
Controlling shareholder	a 51.34% holder whose interests may not align with the minority on capital allocation	Low to medium

B.3 The research record

Every figure in this study traces to a numbered source in the accompanying bibliography, which lists the primary documents actually read, every input with its value, date and construction, the judgements made with what would overturn each one, the searches that found nothing, and the places where a secondary source disagrees with the audited filing. Four consecutive audited financial years were obtained from the company's own investor-relations page: FY2022, FY2023, FY2024 and FY2025, each with the auditor's report and full notes, and each carrying both separate and consolidated statements.

Appendix C — three experts, three methods

Three analysts with genuinely different methods were asked the same question. They are labelled Expert 1, 2 and 3. Each shows their working, names the one sensitivity that matters most to their answer, and states in advance what would prove them wrong.

C.1 Expert 1 — the cash-flow analyst

Worldview: a company is worth the cash it will generate for whoever owns the capital, discounted at what that capital costs. Everything else is a shortcut to that number.

When it works: for a business with a stable, forecastable operating model and a capital structure that is not about to change. When it fails: when most of the value sits beyond the explicit forecast — which is the case here, at 76% of enterprise value in the terminal block.

Working	EGP million
Present value of five years of free cash flow	3,784
Terminal free cash flow	2,388
Terminal discount rate less growth	13.83% – 5% = 8.83%
Terminal value	27,025
Present value of the terminal value	11,938
Core enterprise value	15,722
Associates and assets held for sale	2,991
Less net debt and minorities	(7,368)
Equity value	11,344
Value per share (EGP)	67.22

Named sensitivity: the terminal discount rate. Every 100 basis points on it is worth roughly EGP 8 a share. At 76% terminal weight, this expert is mostly forecasting one number.

Falsifier, stated in advance: "If free cash flow to the firm in FY2027 comes in below EGP 766 million — 30% below my forecast — my five-year build is wrong and so is the terminal that grows out of it."

C.2 Expert 2 — the asset-and-return analyst

Worldview: forecasts are opinions; the balance sheet is a fact. Start from what the company owns, ask what return it earns on it, and pay a multiple of book that the return justifies. Never pay for growth you have not seen.

When it works: for asset-heavy businesses and in markets where forecasting is genuinely hard.
When it fails: when a large part of the asset base is not yet earning, which understates the return and therefore the multiple.

Working	Value
Equity attributable to shareholders	EGP 6,243m
Shares in issue	168.756m
Book value per share	EGP 37.00
Return on average equity, FY2025	26.5%
Sustainable return on equity	21.9%
Perpetual cost of equity	14.90%
Growth	5%
Justified multiple of book = (return – growth) / (cost of equity – growth)	1.71x
Value per share (EGP)	63.12

Named sensitivity: the sustainable return. If it settles at 20% rather than 21.9%, the justified multiple falls to 1.51 times and the value to EGP 56.04 a share.

Falsifier: "If return on average equity falls below 18% in either FY2026 or FY2027, the 21.9% I am capitalising is a peak, not a level, and my multiple is too high."

This expert adds one point the others miss: EGP 4,901 million of the asset base earned nothing in FY2025. Measured against capital that is actually working, the return is far higher than 21.9% — which is an argument for paying up, and this expert declines to make it, because the plant has not yet demonstrated a return.

C.3 Expert 3 — the market-implied analyst

Worldview: do not ask what a company is worth. Ask what the market price already assumes, and judge whether those assumptions are reasonable. It is a discipline against arguing with a price.

When it works: when a price has moved a long way and the question is what it now embeds.
When it fails: it never produces an independent value — it can only tell you what you are being asked to believe.

What the market price requires	Value
Market price	EGP 130.05
Value from the cash-flow model without the new plant	EGP 67.22
Gap to be explained	EGP 62.83 a share
Equity value of that gap	EGP 10,602m
Additional FY2030 revenue required at a 45% contribution margin	EGP 6,642m
as a share of FY2030 revenue	28%
in US dollars a year	USD 115m
against the plant's stated cost of USD 100 million	1.15x asset turn
Implied value per share if that is delivered	EGP 130.05

Named sensitivity: the contribution margin assumed on the new revenue. At 35% rather than 45%, the required revenue rises to about EGP 8,540 million, or USD 148 million a year.

Falsifier: "If the company discloses biosimilar revenue below USD 20 million a year in its third full year of operation, the price is not discounting a plausible ramp — it is discounting a hope."

C.4 Cross-examination

Challenge	Conceded or rejected
Expert 2 to Expert 1: "Three-quarters of your value is a terminal number. You are not forecasting cash flow, you are forecasting a perpetuity."	CONCEDED. Expert 1 accepts the terminal weight is high and points to the sensitivity table as the honest response: the range across a plausible terminal rate and growth combination is EGP 68 to EGP 112, and that range is published rather than hidden.
Expert 1 to Expert 2: "You are capitalising a return earned on a capital base that excludes a third of the assets. Your multiple is measured against the wrong denominator."	REJECTED, with a qualification. Expert 2 answers that book equity is book equity, and that a plant which has not yet earned anything belongs in the denominator until it does — but concedes the lens will understate the company for as long as that remains true, and says so in the study.
Expert 3 to both: "You are both producing numbers below the market price and neither of you can say why the market is wrong."	CONCEDED, and it is the point. Neither cash-flow nor book-based lens contains the new plant's revenue. Expert 3's contribution is to convert that omission into a testable number rather than an argument.
Expert 2 to Expert 3: "Your method assumes the gap is entirely the new plant. It could be the associates, or a re-rating of Egyptian equities generally."	CONCEDED in part. Expert 3 agrees the attribution is a choice, and notes the associate stake would have to be worth roughly three times the value assumed here to close the gap on its own — which is possible, and is a second testable proposition rather than a refutation.
Expert 1 to Expert 3: "A 45% contribution margin on biosimilars is your assumption, not a disclosure."	CONCEDED. Expert 3 sensitises it explicitly rather than defending it, and the study publishes both.

C.5 The three in one room

Put together, the disagreement narrows to a single question, which is a good sign. All three agree on the audited history, on the cost of capital construction, and on the fact that the depreciation and interest step is real and arrives in FY2026. All three agree the existing business — 65% capacity utilisation, a growing export book earned in hard currency, an administered domestic price that at least tracks inflation — is worth somewhere between EGP 70 and EGP 100 a share.

Where they part is what the new plant is worth today. Expert 1 says: nothing until it produces cash, so EGP 67.22. Expert 2 says: nothing until it produces a return, so EGP 63.12. Expert 3 says: the market says EGP 62.83 a share, which requires USD 115 million a year of biosimilar sales, and that is a proposition rather than a valuation. The room does not resolve it. It converts it into something a reader can check in twelve months.

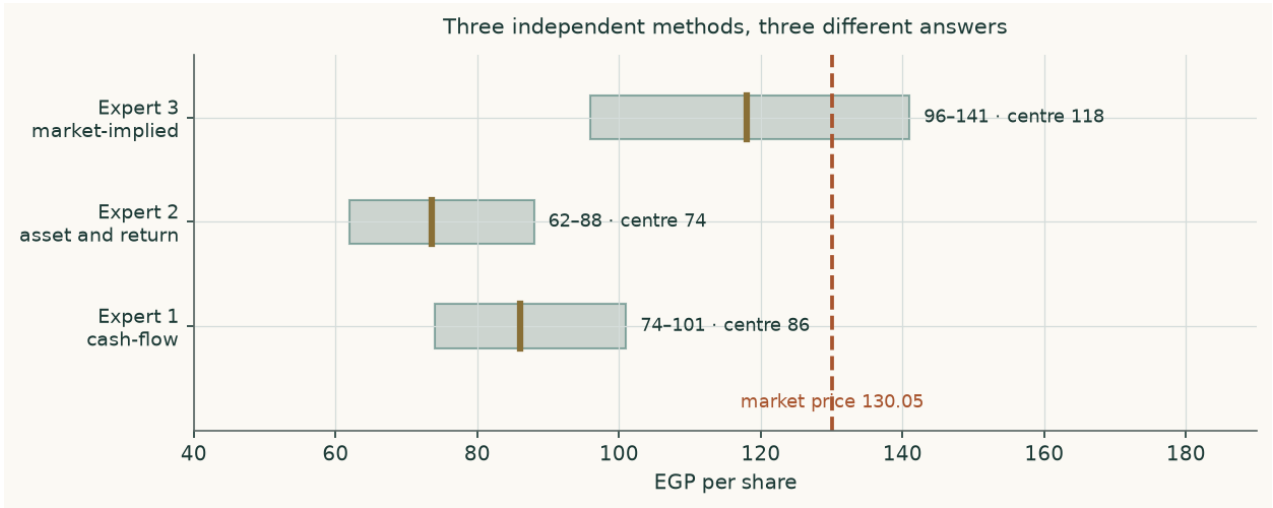


Figure 8 — three methods, three ranges, one market price.

C.6 Divergence table — which assumption drives which gap

Pair	Gap (EGP/share)	The single assumption that drives it
Expert 1 less Expert 2	4.10	whether five years of forecast growth is credited at all. Expert 1 discounts it; Expert 2 refuses to pay for growth not yet earned
Expert 3 less Expert 1	62.83	entirely the biologicals plant's revenue, which Expert 1 sets to zero and Expert 3 infers from the price
Frame A less Frame B	-12.11	the credit-loss and provision charge alone — 5.25% of revenue permanently against a decay to 2.5%. Nothing else differs between the two
Study centre less market price	-63.48	the sum of the above: no plant revenue, a relative lens anchored on what the company's own return justifies, and a normalised rather than peak margin

Table 21 — every gap in this study isolated to the assumption that causes it.

About this study

This is an independent, educational valuation study. It was prepared from the company's own audited financial statements and its own published operating disclosures, obtained directly from its investor-relations page. The valuation model behind it is a live spreadsheet: every figure that can be derived from a driver is a formula, and changing a driver reprices the model. That claim was tested on the delivered file rather than asserted — every formula cell was independently recalculated and reconciled to the model, and each input was perturbed in place to confirm the answer moves in the right direction.

The probability map in section 3 comes from a simulation engine calibrated on the Egyptian market as a whole and tested by re-running it across the full price history without letting it see the future. Its performance on this individual share is reported honestly in section 3, including where it is no better than a random walk.

Disclosure

This document is educational analysis, not investment advice, and not a recommendation to buy, sell or hold any security. It contains no rating and no price target. Fair value is expressed as a range and as a distribution because that is what the evidence supports.

The author holds no position in the securities discussed and receives no compensation from the company, its shareholders or any party with an interest in its share price. The study was not commissioned by, shown to, or reviewed by the company before publication.

All historical financial figures are the company's own audited consolidated figures as published in its annual reports. Forward-looking figures are the author's estimates and will be wrong in detail; the sensitivity analysis in section 1.9 and the caveats in section 7 state by how much and in which direction. Market data used for peer comparison is labelled as such and is not used to construct any figure about the subject company.

Past performance and back-tested performance are not guides to future results. A probability band is not a guarantee: one outcome in ten is designed to fall outside a 90% band.